

Australian Inflation Forecast

Results and Method

Model output review

16 September 2026
Input snapshot through 2026Q2

1 Results

The saved quarterly vector autoregression (VAR) projects three Australian CPI measures through 2029Q2. Headline year-ended inflation moves from 3.95% in the latest observation to 3.20% a year later and 3.14% at the end of the path. Trimmed mean inflation moves from 3.65% to 3.29% by 2029Q2. The excluding-food-and-energy measure initially rises to 4.47% in 2027Q2, then reaches 3.76% in 2029Q2. These are conditional model projections, not observed future outcomes or a policy target.

Period	Headline	Trimmed mean	Ex food and energy
2026Q2 (observed)	3.95	3.65	3.43
2027Q2	3.20	3.27	4.47
2028Q2	3.20	3.36	3.94
2029Q2	3.14	3.29	3.76

All entries are year-ended percentage changes in the corresponding CPI index, rounded from `results/au_inflation_forecast.csv`. The dotted chart rule marks 2026Q2; solid lines are observed rates and dashed lines are projections.

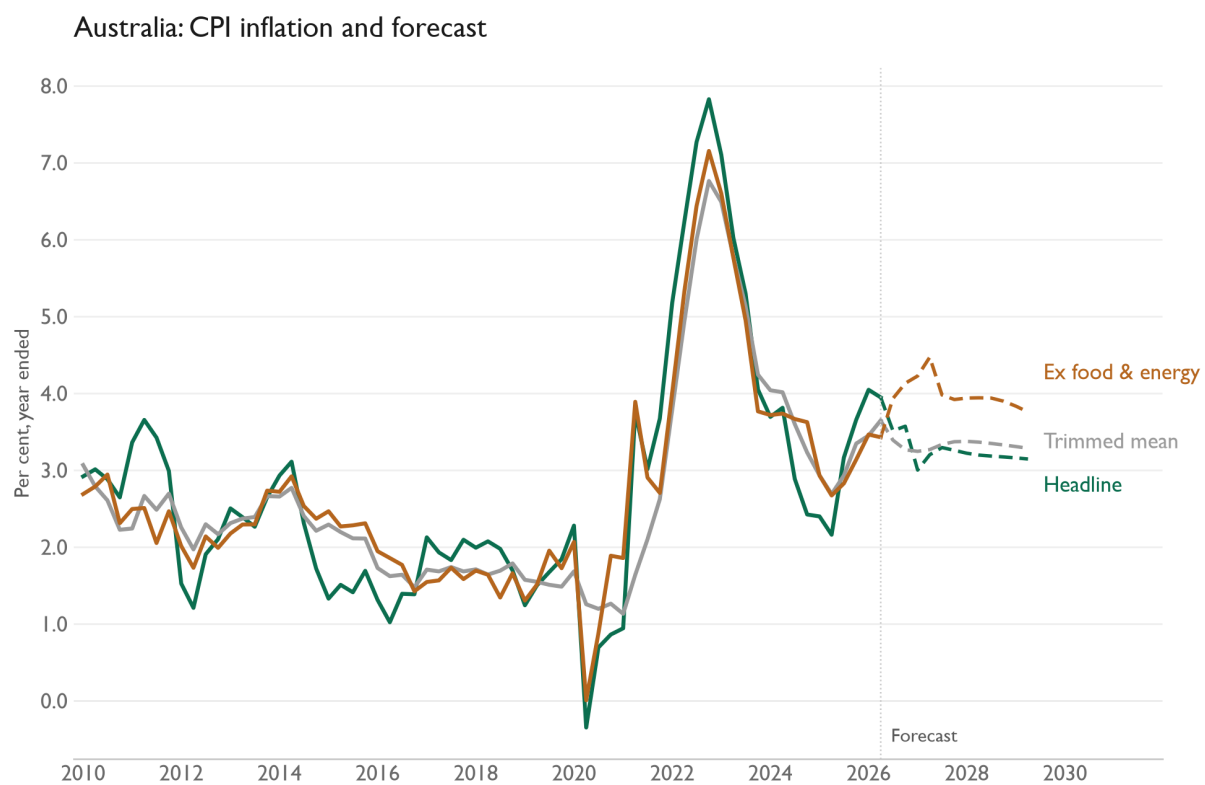


Figure 1: Australian CPI inflation history and 12-quarter VAR forecast.

2 Methodology

2.1 Data and specification

The bundled `Data Inputs.xlsx` contains only the required series from the original AU and AU-M sheets. The model reads quarterly headline, trimmed mean, and excluding-food-and-energy CPI indices; unemployment; inflation expectations; and import prices. It reads monthly oil and Stage 2 pipeline-price indices and averages their available monthly observations within each quarter. The three CPI measures are estimated separately, each with the same five-driver block. The starting quarter is 2001Q1; the transformed estimation sample runs from 2001Q2 to 2026Q2.

For each CPI measure, the endogenous vector is quarterly CPI inflation, unemployment, inflation expectations, import-price inflation, oil-price inflation, and Stage 2 price inflation. Price inflation is 100 times the one-quarter percentage change in its index. Unemployment and expectations enter in levels. The code estimates

$$x_t = c + A_1x_{t-1} + \cdots + A_px_{t-p} + u_t,$$

where `statsmodels` selects p by the Akaike information criterion from at most six lags. The saved fits select one lag for headline and trimmed mean, and two for the excluding-food-and-energy measure. All variables are endogenous: the forecast recursively projects the drivers together with CPI inflation.

2.2 From quarterly changes to year-ended rates

The projected CPI quarterly changes are chained to the last observed index level, $P_{t+h} = P_{t+h-1}(1 + \hat{\pi}_{t+h}/100)$. The reported year-ended rate is $100(P_t/P_{t-4} - 1)$. The model runs 12 forecast quarters. Chart and CSV generation can be repeated from the parent `inflation-forecasts` folder with `py -3.14 run_all.py`.

3 Interpretation and limits

The June 2026 quarter is the latest CPI quarter in the bundled snapshot. The monthly AU-M inputs end in April 2026, so their 2026Q2 quarterly averages use April alone. The last driver observation is therefore provisional as a quarterly average and can change when later monthly data are added. The plotted paths are point forecasts; no uncertainty bands or out-of-sample accuracy assessment are included. The model has no judgmental assumptions or structural treatment of future policy and shocks. In particular, the rise in the excluding-food-and-energy path is a result of its fitted VAR dynamics, not a separate scenario.